

FEDERAL MARITIME COMMISSION

BED BATH & BEYOND INC.,

Complainant,

-against-

YANG MING MARINE TRANSPORT CORP.,

Respondent.

Docket No. 23-10

**RESPONSE TO SUPPLEMENTAL
SUBMISSION**

PRELIMINARY STATEMENT

Pursuant to the Order on Motion to Reopen the Record and to Submit Supplemental Information dated July 16, 2026, Respondent, YANG MING MARINE TRANSPORT CORP. (“Yang Ming”), by its attorneys, Mahoney & Keane, LLP, replies to the Response to the Order dated August 14, 2026 interposed by Complainant, BED BATH & BEYOND INC. (“BBB”). As discussed below (and without rearguing the points previously raised in Yang Ming’s motion papers, to which the Commission is respectfully referred to avoid such repetition), BBB’s supplemental information remains woefully insufficient and continues to brazenly seek plainly illegal multiple recoveries for the same losses and beyond any damages that might legitimately be claimed of Yang Ming.

ARGUMENT

POINT I. BBB’S SUGGESTION THAT ITS DAMAGES CAN BE MEASURED BY REFERENCE TO ITS UNMET MQC FAILS TO ACKNOWLEDGE THAT THE SERVICE CONTRACT, AS AMENDED, SHOWS THAT NO MQC SHORTFALL, IN FACT, OCCURRED.

To be sure, the OOCL case involved some rather stark evidentiary and factual differences from those of the instant matter. See, generally, 20230930-DK-BUTTERFLY-1, Inc. v. Orient Overseas Container Line Ltd., Docket No. 23-02, 2026 WL 1285696 (ALJ Apr. 24, 2026). Those inapposite circumstances resulted in a determination of some Shipping Act violations that are wholly inapplicable to the present case. In this

dispute, simply no evidence whatsoever has been presented to indicate that BBB was in any way coerced in its contracting with Yang Ming.

As discussed in the Brief for Respondent, the parties here, both sophisticated business entities with the benefit of counsel, and in accordance with their service contracts' unambiguous terms, as well as widespread industry practice, freely entered into express, signed "draw-down" amendments so that no MQC shortfalls would result. The record confirms that BBB was in no way forced to enter into them. Indeed, BBB gained the benefit of prior draw-downs when BBB was unable to supply enough cargos. But as soon as the market shifted and the carriers were coming up short due to the supply-chain breakdowns created by the pandemic, the instant FMC claims followed. But putting this obvious hypocrisy aside, BBB continues to avoid its own contract like an "elephant in the room." This is a pure matter of contract formation. Draw-down amendments do not per se somehow violate the Shipping Act. BBB is simply trying to self-servingly avoid the consequences of its own agreement when it suits BBB to do so.

Accordingly, BBB's insistence that its damages may be measured from pre-draw-down MQC is misplaced. There is zero support for such a proposition on the facts of this case, and that should readily end the inquiry.

POINT II. ASSUMING, STRICTLY PRO ARGUENDO, ANY DAMAGES FOR PRE-DRAWDOWN MQC SHORTFALL WERE RECOVERABLE, BBB'S STRAINED EFFORT TO JUSTIFY ITS "DOUBLE-DIPPING" SHOULD NOT BE COUNTENANCED.

A. THE OOCL DECISION DID NOT GREENLIGHT RECOVERY FROM ONE CARRIER OF DAMAGES CAUSED BY ANOTHER.

BBB reads too much into the OOCL opinion. On the facts of that case, the ALJ found that the cargos at issue were not specific to any carrier and the cost of replacement shipments could be used as a measure of reparation damages. But it also made plain that BBB was only entitled to recover its proven "actual" damages shown to be caused by the particular wrongdoing under consideration. 20230930-DK-BUTTERFLY-1,

2026 WL 1285696, at *158; see also, generally, Dopp v. HTP Corp., 947 F.2d 506, 517 (1st Cir.1991) (“[T]he law abhors duplicative recoveries. That is to say, a plaintiff who is injured by reason of a defendant's behavior is, for the most part, entitled to be made whole—not to be enriched.”). It certainly did not suggest that the bar against double-recovery did not apply. The only reason double-recovery was not an issue was that there had not yet been any recovery against any of the other carriers. Id. at *13. Judge Wirth appears to have effectively endorsed the position that the extent of each carrier’s liability for MQC shortfalls can hinge on the chronological order in which their cases are adjudicated. Whatever might be said about that stance, and the mental gymnastics and obfuscation of BBB’s counsel in arguing otherwise, the fact remains that, now that the OOCL ruling has come down, BBB must be precluded from recovering for cargoes covered by it, as the Order at issue appears to deem a given.

B. BBB’S ATTEMPT TO SEEK AN IMPERMISSIBLE DOUBLE RECOVERY IS RIPE FOR ADJUDICATION.

BBB argues that no double-recovery bar should accrue at this time, since the OOCL order is still subject to further review and BBB has not yet actually received the funds. But BBB relies on authorities which do not offer any real support for such an argument. Endeley v. United States Dep’t of Defense, 268 F. Supp. 3d 166 (D.D.C. 2017), involved no double-recovery issue at all and just discussed ripeness in the completely alien context of injunctive relief against the government. And TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp., F.M.C. Docket No. 1966[I], 2022 WL 1806897, *7 (F.M.C. Dec. 29, 2022),¹ and In re

¹ By email on August 21, 2026, counsel for Complainant contacted undersigned counsel indicating an inadvertent omission to their citation and asking we include in this brief the following correction to theirs: TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp., FMC Docket No. 1966(I), 2022 WL 1806897 (FMC Dec. 29, 2022), noting that the citation should have been: TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp., FMC Docket No. 1966(I), 2022 WL 1806897 (FMC Dec. 29, 2022), *vacated on other grounds by Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm’n*, 106 F.4th 1113 (D.C. Cir. 2024) (“*Evergreen I*”); *accord TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp. & Evergreen Line Joint Service Agreement*, 2025 WL 516256 (FMC Feb. 13, 2025) (“*TCW II*”)(decision on remand reaffirming reparations award from *TCW I* without re-addressing the double-counting argument).

Vehicle Carrier Serv's, F.M.C. Docket No. 16-01, 2019 WL 5558120 (F.M.C. Oct. 21, 2019), merely addressed the “direct purchaser rule” and a “pass on” theory of damages, which, again rather obviously, have no conceivable bearing on the actual dispute at hand. None of these cases state or stand for the proposition that the claimant needs to be in receipt of the funds before the double-recovery bar comes into play.

On the contrary, an award has now been issued establishing OOCL’s liability and, as such, no longer rests upon “contingent future events that may not occur as anticipated, or indeed may not occur at all.” Thomas v. Union Carbide Agricultural Products Co., 473 U.S. 568, 580–581, 105 S.Ct. 3325, 3333, 87 L.Ed.2d 409 (1985) (quoting 13A Charles A. Wright, Arthur R. Miller, & Edward H. Cooper, Federal Practice and Procedure § 3532, p. 112 (1984)). It is well-settled that claims based on an underlying liability, such as those for indemnification, are ripe, at the very latest, when that underlying liability has been established, typically by settlement or judgment. See, generally, Structure Tone, LLC v. The Charter Oak Fire Ins. Co., No. 23 Civ. 5015, 2023 WL 8850073, *2 (S.D.N.Y. Dec. 21, 2023) (“Defendants are incorrect in arguing that a declaratory judgment action cannot be ripe before liability has been established in the underlying action. As in that case, here too the factual circumstances show a practical likelihood that a liability finding against Structure Tone will be entered in the Underlying Action.”) (internal quotation marks omitted) (citing cases); International Fidelity Ins. Co. v. City of New York, 263 F. Supp. 2d 619, 636 (E.D.N.Y. 2003) (“Defendants have already obtained judgments of forfeiture against plaintiff on these very grounds in state court. Under the New York doctrine of double recovery, defendants are precluded from bringing claims seeking a second recovery for the same injury.”).

Here, OOCL has been cast in liability by way of Judge Wirth’s order. BBB has been unable to come forward with any authority suggesting that the claim would nonetheless never ripen so long as further avenues for judicial review are available (they always are) and thus, perversely, reward those ocean carriers which are successful in delaying case resolution and penalize those which make prompt payment of

any assessed liability. The position urged by BBB should be rejected, accordingly.

C. THE NEW DATA NOW PROVIDED BY BBB STILL DOES NOT REVEAL THE TRUE EXTENT OF BBB’S ALLEGED NON-OVERLAPPING CLAIMS.

Needless to say, mere spreadsheets without underlying proof is not evidence of damages. See, California Shipping Line, Inc. v. Yangming Marine Transport Corp., Docket No. 88-15, 1990 WL 427466, *24 (F.M.C. Oct. 19, 1990) (“[W]e find that CSL has not established its actual injury with a reasonable degree of certainty. Its proof is so speculative and conjectural that it lacks the requisite degree of certainty. The crux of CSL's proof is Exhibit FFF, Volume I. As indicated earlier, this damage summary was entirely the work of CSL's president and was based on his estimates . . . we find the basic damage summary to be an unconvincing basis upon which to award damages.”); see also, TPG Pressure, Inc. v. Omni Logistics, Docket No. 22-31, 2024 WL 4226354, *16 (F.M.C. Sep. 12, 2024) (“The shipment and damages charts and the revised versions are admitted under Federal Rule 611(a) to assist in reviewing the claims, and not as independent evidence of underlying claims under Rule 1006.”).

Nonetheless, in response to the inquiries posed by the Order, and after being caught actively concealing multiple attempts at double recovery through misleading testimony and apparent misuse of confidentiality designations, BBB has presented an entirely conclusory list of shipments and dollar amounts, purporting to show which were also included in the OOCL action and which were not. No such list has been provided in connection with the other actions mentioned in Yang Ming’s motion, so the present submission still comes nowhere close to accounting for the overall extent to which BBB has been seeking, and continues to seek, multiple recoveries from the various carriers for the same shipments. But even the new lists do not provide information which might confirm, or allow Yang Ming to fully investigate, whether these shipments bear any relation to the service contract sub judice.

BBB completely fails, and makes no attempt, to establish that the cargos said to have been shipped with NVOCCs had previously been booked with, and rejected by, Yang Ming. BBB has, admittedly, just

bundled *all* of its NVOCC shipments during the period of the Yang Ming’s service contract and the COVID-19-driven supply chain breakdown and applied them *all* to Yang Ming. Moreover, BBB appears to have done exactly the same thing with Evergreen, OOCL, and all of BBB’s other ocean carriers, including, inter alia, some with which BBB has already “confidentially” settled out of court. The new data does absolutely nothing to overcome this fundamental failure of proof or otherwise alleviate the Commission’s concern about preventing double recovery.

And this is not a situation where Yang Ming is asking that BBB be held to an over-exacting standard and where accommodation should be afforded in calculating damages. Whether or not the cargoes were “fungible” and could have been shipped under various service contracts, BBB is necessarily in possession of documentary evidence confirming precisely which NVOCC cargoes were previously rejected by which ocean carriers. The only reason this double-recovery controversy has arisen is that BBB has declined to come forward with that accounting. Yang Ming is at a loss to imagine why the FMC would allow BBB to measure its damages in a duplicative fashion, when the best evidence of damages is readily available to BBB and being inexplicably withheld.

Indeed, BBB has exploited the Order to now introduce new, allegedly non-overlapping NVOCC bills of lading as to which Yang Ming has had no opportunity to conduct discovery. The Commission should not allow this kind of conduct to be tolerated.

Moreover, based on the scant information made available, Yang Ming has been unable to fact-check the extent to which BBB is, in fact, claiming from Yang Ming for NVOCC shipments that were not the result of any lack of vessel space on the part of Yang Ming. Some 392 invoices contained in appendix A-1(c) do not include invoice dates and load/discharge dates, making it impossible to verify whether the relevant origin-destination pairs were actually covered under Yang Ming’s service contract during the applicable contract period. And since there is no supporting documentation (e.g., house bills of lading,

booking notes, container numbers, commodity descriptions, freight invoices, proofs of payment, arrival notices, work orders, gate receipts, etc.) provided despite Yang Ming's request for them, it is impossible to verify the genuineness of the shipments, including whether they were Yang Ming rejected BBB cargoes and the dollar amounts are accurate.

All bills of lading identified under the column "Master B/L" are not master or ocean bills of lading. None of the bills of lading identified show a SCAC of an ocean carrier. That entire column should be rejected on this ground alone.

In fact, not only are the dollar amounts suspiciously rounded numbers, which are not typical of itemized charges under bills of lading, but the amounts proffered are charges under NVOCC bills of lading, and NVOCCs typically provide, in addition to ocean freight services, ancillary services such as container freight station stuffing and stripping services, warehousing, inland freight such as rail and drayage, customs clearance, duties paid, and other brokerage fees. Because the amounts likely include charges other than ocean freight, BBB's use of the dollar amounts to calculate its Cost of Spot/NVOCC freight renders further unreliable the purported "evidence."

Furthermore, NVOCC shipments typically involve co-loads, where the NVOCC consolidates different cargos from multiple shippers. So, the appendix does not confirm these shipments were BBB-exclusive cargos. And, if co-loading took place, the purported freight paid would include money paid by multiple shippers, possibly other than BBB. The dollar amounts do not confirm the ocean freight paid. Since no merchants are identified on the house bills of lading, Appendix A-1(c) fails to even confirm that BBB or its affiliates were either shippers or consignees on those shipments. Without supporting documentation, which BBB surely possesses but has chosen to not disclose in its submission verifying the actual costs, the dollar amounts provided by these appendices make reliance upon them in this matter inherently unreasonable.

In addition, Appendix A-1(c) is replete with duplicate entries of the same bill of lading. Of the 604 line entries, 330 entries are duplicates of 84 bills of lading. As an example, Bill of Lading No. WWLLWLC11008671 is identified on 11 consecutive line entries at page 11 of Appendix A-1(c). More egregious, there are seven separate bills of lading each with the *same* invoice number duplicated throughout the appendix that somehow invoice *different* dollar amounts. Since every bill of lading must be unique to the shipment, these duplicates are inconceivable and defy every industry norm and practice.

Such offerings do not constitute cogent evidence under any standard. But in any event, what is clear is that BBB's overreaching claim-padding has resulted in a hopeless and totally uncured evidentiary morass (entirely of BBB's own making), the Order's well-intentioned attempt to lend clarity to the matter by way of the directives for additional information notwithstanding. Surely BBB's burden of proving its damages has not been met on this record.

D. THE ALLEGATION THAT THE TOTAL EXTENT OF BBB'S MQC SHORTFALLS DURING THIS PERIOD EXCEEDED THE NUMBER OF NVOCC SHIPMENTS BBB BOOKED, CAN HARDLY JUSTIFY AWARDED BBB DAMAGES FOR MORE THAN THE LOSSES ACTUALLY SUSTAINED.

It must be said, BBB's argument in this regard is pure sophistry. BBB's alleged reparation damages cannot exceed the losses resulting from the need to arrange substitute shipments with NVOCCs. Yet BBB would stretch the reasoning of the OOCL decision beyond all reasonable bounds and have this tribunal divorce itself from reality, such that damages might be awarded based on nothing more than a tally of BBB's collective unused MQC across all carriers. These phantom damages would apparently be recovered as some sort of reward for BBB having overestimated its MQC requirements. Indeed, by this logic, BBB could have signed service contracts containing massive MQCs with innumerable additional ocean carriers, aside from the handful presently implicated, and entitled BBB to an even greater, astronomical windfall spawned from whole cloth. BBB would have no examination undertaken of its own, now admitted, breach of its service agreements by virtue of its own shortfalls. It's "heads we win and tails you lose," as far as BBB's arguments

in these cases go. Damages can be pulled out of thin air, and even a blatant double-recovery can be pressed against as many ocean carriers as BBB can, with the FMC's blessing, scam. It truly is a surreal, "Alice in Wonderland" mockery of these proceedings and should be stopped.

E. ATTEMPTS TO OBTAIN DOUBLE RECOVERIES ARE AGAINST THE LAW AND SHOULD BE PROHIBITED. POTENTIAL VICTIMS SUCH AS YANG MING, ARE NOT REDUCED TO SEEKING CONTRIBUTION FROM THIRD-PARTIES WHICH ARE NOT JOINTLY LIABLE.

BBB's final argument (that, rather than asking the ALJ to simply block BBB from collection of the same damages from at least six ocean carriers, Yang Ming's sole remedy is to sue those carriers) is, again, frankly absurd and at odds with the law as previously briefed in Yang Ming's motion.

By way of support, BBB relies upon a citation to a third-party complaint in Hapag-Lloyd AG v. CSX Transportation, Inc., F.M.C. Docket No. 22-35, 2023 WL 2967200 (F.M.C. Apr. 13, 2023), and BUC Int'l Corp v. International Yacht Council Ltd., 517 F.3d 1271 (11th Cir. 2008). Neither of those documents anywhere posits that a defending party in a position such as Yang Ming's is so limited. Clearly, indemnification can be sought where one party is alleged to be liable for damages caused by a third-party. So too, contribution and the one satisfaction rule can operate to avoid double-recovery situations involving joint tortfeasors. But neither circumstance is present in this case.

Though the damages are the same, BBB has brought completely discrete claims against each carrier based on their own service contracts. It should be needless to say, one ocean carrier should not be answerable for any Shipping Act violation committed by another. Nor could they in any way be deemed joint tortfeasors, when the transactions and occurrences giving rise to BBB's claims do not overlap in the slightest.

The only overlap is to be found in BBB's shoddy at best, greedy at worst, attempt to clump all its damages based on these separate claims together. But, now that the scheme has been uncovered, rather than apologizing to the Commission and segregating its damages as required under the law, BBB is actually leaning in with specious arguments. BBB's request that an ALJ should knowingly permit a claimant to openly

seek to recover the same damages over and over in at least six separate claims without stepping in to put a stop to it is just beyond the pale.

CONCLUSION

WHEREFORE, Yang Ming renews its request that leave be afforded to Yang Ming reopen discovery and file a supplemental Proposed Findings of Fact, Appendix, and Brief; or, in the alternative, that BBB be directed to further supplement the record by documenting the full extent to which damages for the same shipments have been sought or recovered in any other claims and precluded from seeking them herein; and Yang Ming be awarded such other and further relief as the Presiding Officer may deem just and proper.

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Respectfully submitted,

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